4. Conjugal Partnership of Gains Arts. 105-133
History and Concept
Distinguished from Absolute Community Regime When Applicable
Applicability of Ordinary Partnership Rules

CONJUGAL PARTNERSHIP OF GAINS

- Nature and Concept:
  - A special type of partnership
  - No merger of separate properties; complete separation of capitals
  - Upon dissolution, the net gains or benefits shall be divided equally between them unless otherwise agreed marriage settlement.
  - Rules on partnership will apply (suppletory application)
- When applicable
  - Applicable only to valid and voidable marriages and void marriages under Art 40, FC.
  - Civil Code - default regime
  - Family Code - only if agreed upon in a marriage settlement

COMMENCEMENT OF PROPERTY REGIME

- Celebration of marriage
- Any stipulation for the commencement of property regime at any other time shall be VOID

Waiver of Rights, Interests, Shares, and Effects

- PROHIBITED - the interest is inchoate, a mere expectancy; the right does not vest until dissolution of the marriage and liquidation of property regime
- EXCEPTION: judicial separation of property, dissolution of marriage (annulled) - public instrument and recorded in the Register of Deeds

Case: ***FATIMA B. GONZALES-ASDALA v METROPOLITAN BANK AND TRUST COMPANY, G.R. No. 257982 February 22, 2023,***

Exclusive Property of Each Spouse Art. 109, 113-115

- ***Salvador v. CA, 243 S 239***

- Properties EXCLUDED:
  - Properties acquired BEFORE marriage
    - Fruits and income are part of the conjugal partnership
    - Young of livestock - not considered as fruits
  - Properties acquired DURING marriage by GRATUITOUS title
    - if made in favor of both husband and wife - exclusive properties (share and share alike)
    - there is accretion (the share of donee who did or could not accept or who died before acceptance shall belong to the other donee)
    - the acceptance of one spouse is sufficient
  - Properties acquired DURING marriage by GRATUITOUS title
    - Q: What is the status of properties subject of an onerous donation?
      - Burden or charges imposed by the donor is inferior in value compared to the value of the thing given - exclusive even if the

charges have been advanced by conjugal partnership

- Properties acquired by redemption, barter, or exchange
  - Right of redemption pertains exclusively to the redemptioner-spouse regardless of the source of money used to redeem the property - subject to reimbursement
  - Property subject of the barter or exchange is the exclusive property of the spouse
- Properties purchased with exclusive money
  - Includes properties acquired through dacion en pago (property as payment for indebtedness exclusively to one spouse)

➢ Retirement benefits, pensions, annuities, gratuities, usufructs, and similar benefits accumulating DURING marriage
- EXCLUSIVE – if obtained out of pure liberality
- CONJUGAL PARTNERSHIP PROPERTY - an accumulation or deductions from money earned during the marriage or from salaries of either spouse

MARRIAGE INCIDENTS AND CONSEQUENCES

ACP (Exclusive)	CPG (Exclusive)
Properties acquired BEFORE marriage if the spouse has legitimate descendants by a former marriage	Properties acquired BEFORE marriage
Properties acquired DURING marriage by GRATUITOUS title	Properties acquired DURING marriage by GRATUITOUS title
Properties subject of sale or exchange – excluded pursuant to the mandatory provision of law	Properties acquired by redemption, barter, or exchange with property owned by one spouse
Properties for personal and exclusive use	Properties purchased with exclusive money
Properties excluded in marriage settlements	

➢ Rights of the owner-spouse over exclusive property
- May mortgage, encumber, alienate, or otherwise dispose of the property WITHOUT the consent of the other spouse
- Administration of the property is the responsibility of the owner-spouse but may be transferred to the other spouse VOLUNTARILY or THROUGH COURT ORDER
- Voluntary transfer - public instrument and registered with the Register of Deeds
- Through court order - if owner spouse:
  - under guardianship and the other spouse is the guardian
  - judicially declared as an absentee
  - sentenced with a penalty that carries civil interdiction

        - becomes a fugitive from justice or is in hiding as an accused in a criminal case
        - abandoned the other spouse and children
    - Presumption in favor of conjugal partnership
        - All properties acquired during marriage is presumed to be conjugal (disputable presumption) BUT proof of acquisition within marriage is a condition sine qua non
        - Even if the acquisition appears to have been made, contracted, or registered in the name of one spouse
        - What is the status of properties acquired by spouses during marriage if one spouse is a foreign citizen?
            - EXCLUSIVE property of Filipino spouse (if real property)

Ownership, Possession, Enjoyment and Administration of Exclusive Property Arts. 110-112

- R.A. 10572 amending Art. 73 of Family Code of the Philippines

Property Included in Conjugal Partnership of Gains Arts. 116-120

- ***Nayve-Pua v. Union Bank, G.R. No. 253450, January 22, 2024***
- ***Ravina v. Abrille, 16 October 2009***
- ***Titan Construction Corporation v. David, 15 March 2010.***

➢ Properties INCLUDED

- Properties acquired through onerous title DURING the marriage using conjugal funds
    - Manner of acquisition - onerous
    - Source of funds - conjugal funds
    - Does not apply to a property purchased on installments prior to marriage and the payment was completed during marriage and paid partly by the conjugal funds (consider when was the full ownership was vested)
- Properties obtained through labor, industry, work or profession DURING marriage
    - Daily wages, periodic salaries, honoraria, professional fees, in come from business
    - Debts contracted during marriage in the exercise of industry or profession - obligation of the conjugal partnership
- Properties acquired through occupation DURING marriage (mode of acquisition of ownership)
    - Properties not owned by anybody (hunting, fishing)
    - Share in the hidden treasure
- Properties acquired through installment payments before marriage
    - Payments - partly conjugal funds
    - Full ownership was vested DURING marriage
- Fruits and income of separate properties received DURING marriage
    - Natural (spontaneous products of the soil and the young of animals except livestock), industrial (produced by land through cultivation or labor), civil fruits (rent of buildings, etc)
    - Net fruits - income or fruits after deducting expenses of administration

of the property
- Livestock
  - In excess of what was brought to the marriage (to be determined upon the dissolution of the partnership)
- Properties acquired by chance
  - From betting or gambling
  - Losses shall be borne by the loser-spouse
- Credit belonging to one spouse
  - Payable on several installments and amortizations are collected DURING marriage
  - Interest - conjugal partnership (fruits or income)
  - Principal - exclusive property
- Improvement on separate property at the expense of partnership or through acts and efforts of one or both
  - Cost of improvement and increase in the value of the property are MORE THAN the value of the property at the time of improvement - entire property belongs to conjugal partnership (reimburse owner-spouse)

Charges Against / Obligations of Conjugal Partnership Property Arts. 121-123 in rel. to Arts. 194-195

- ***Ros and Aguete v. PNB Laoag, 6 April 2011***

CHARGES AND OBLIGATIONS OF PROPERTY REGIME

- LEGAL SUPPORT
  - Spouses
  - Common children
  - Marital children of either spouse in previous marriage
  - Adopted children

    Note: If insufficient - spouses are solidarily liable with their separate properties
  - Non-marital children - separate properties (to be deducted upon liquidation)

    Note: If separate property is insufficient

    ACP - automatically liable (advance)

    CPG - responsibilities of the CPG should first be covered

- DEBTS CONTRACTED DURING MARRIAGE
  - Contracted by administrator-spouse or both spouses or one spouse with the consent of the other
  - For the benefit of the community or partnership
  - If profession, occupation, business, or activity has been objected by one spouse - and the benefit accrued prior to the objection

    Note: If insufficient - spouses are solidarily liable with their separate properties
  - If contracted by one spouse WITHOUT the consent of the other - ONLY TO THE EXTENT THAT THE FAMILY MAY HAVE BEEN BENEFITED
  - Burden of proof - creditor EXCEPT if the obligation is contracted for the use of family business, it is presumed that the family benefited

- ANTENUPTIAL DEBT
  - If the same redounded to the benefit of the family
    Note: If insufficient - spouses are solidarily liable with their separate properties
  - If it did not redound to the benefit of the family - charged against the separate property
    Note: If separate property is insufficient
    > ACP - automatically liable (advance)
    > CPG - responsibilities of the CPG should first be covered
- TAXES, LIENS, EXPENSES FOR REPAIRS
  - community or partnership - includes major and minor repairs
  - separate property - preservation only and if used by the family (ACP but not CPG)
    Note: If insufficient - spouses are solidarily liable with their separate properties
- EXPENSES FOR EDUCATION AND SELF-IMPROVEMENT
  - Spouse
  - Common marital children – value of what is donated or promised by both spouses
  - Note: there is missing slide here (if insufficient)
- EXPENSES OF LITIGATION BETWEEN SPOUSES
  - Except if the suit is found to be groundless
    Note: If insufficient - spouses are solidarily liable with their separate properties
- CIVIL LIABILITY FOR DELICT OR QUASI-DELICT
  - NOT chargeable against the community/partnership
  - Chargeable against the separate property
    Note: If separate property is insufficient
    ACP - automatically liable (advance)
    CPG - responsibilities of the CPG should first be covered before any civil liability is enforced against the partnership assets
- LOSSES IN GAMES OF CHANCES
  - NOT chargeable against the community or partnership
  - Winnings - part of community or partnership

Ownership, Possession, Enjoyment and Administration of Conjugal Partnership Property
Remedies in case of Disagreements Arts. 124-125

- ***Sps. Cueno v. Sps. Bautista, G.R. No. 246445, March 02, 2021***

Sole Administration, When Permissible Art. 124

- ***Uy v. CA, 346 S 246***
- ***Sabalones v. CA, 230 S 79***
- ***Relucio v. Lopez, 16 January 2002***

RULES on Administration, Disposition, and Encumbrance

- Joint Administration and Management
  - General Rule: Spouses as joint administrators
  - In case of disagreement: Husband's decision will prevail

        - Remedy of the wife - court for rescission of contract (within five years from the date of the contract implementing the decision)
- Sole Powers of Administration and Management
    - In case of incapacity of inability to participate
    - Do NOT include disposition and encumbrance

  NOTE:
  No consent or authority - VOID but CONTINUING OFFER
  Acceptance of the offer - perfection of the contract NOT ratification
- Disposition or Encumbrance
    - Donation by one is not allowed without the consent of the other EXCEPT for moderate donations for charity or on occasions of family rejoicing or family distress
    - Q: Can one spouse validly dispose his/her share in the community or partnership? A: NO.
        - ***Carlos v. Tolentino, G.R. No. 234533, June 27, 2018***: "We deem it proper to uphold the validity of the Deed of Donation dated February 15, 2011 but only to the extent of Mercedes' one-half share in the subject property. And rightly so, because why invalidate Mercedes' disposition of her one-half portion of the conjugal property that will eventually be her share after the termination of the conjugal partnership? It will practically be absurd, especially in the instant case, since the conjugal partnership had already been terminated upon Mercedes' death."
    - Q: May buyers or mortgagees interpose the defense of good faith? A: YES.
        - Diligence in verifying the validity of the title covering the property
        - Diligence in inquiring into the authority of the transacting spouse to sell community or partnership property in behalf of the other spouse

Disposition or Encumbrance

Q: Are the following considered as acceptance of continuing offer?

- Maria executed a real estate mortgage without the consent of Pedro (October 31, 2026). Pedro executed SPA dated November 5, 2026. **YES**
- Maria sold property without the consent of Pedro. Pedro sent a letter to the buyer stating that the buyer should pay earlier than the date set in the Deed of Sale and pay a higher consideration. **NO**

Q: What is the remedy of the non-consenting spouse?

- A: Action for declaration of nullity of the contract and the return of the property to the community or partnership (imprescriptible)

Termination of Property Regime (ACP & CPG)

1. Upon the death of either spouse
2. When there is a decree of legal separation
3. When the marriage is annulled (Art 45)
4. When the marriage is declared void under Art 40
5. In case of judicial separation of property during the marriage
6. Upon the termination of subsequent marriage as contemplated under Art 41 (recording of

affidavit of reappearance of an absentee spouse/judicial declaration of termination of subsequent marriage)

7. Recognition of divorce decree

Dissolution and Liquidation of Conjugal Partnership
Grounds Art. 126 in rel. to Arts. 103, 63-64, 50-52, 134-138

- ***Uy v. Estate of Fernandez, 5 April 2017***
- ***Nable-Jose v. Nable-Jose, 41 P 713***

Effect of Separation De Facto
Art. 127-128

- ***Abalos v. Macatangay, 439 S 649***

Q: Will the property regime be terminated in case of separation de facto or abandonment?
A: NO, but judicial authorization may be obtained in a summary proceeding in case of disposition or encumbrance of properties.

Liquidation Procedure Arts. 129-133
Separation of Property

- ***Case: BELINDA ALEXANDER v SPOUSES ESCALONA et al., G.R. No 256141 July 19, 2022 (sale without the other spouse's consent***
- ***THE COMMONER LENDING CORPORATION v RAFAEL BALANDRA, G.R. No. 247646 March 29, 2023 (encumbrance without the other spouse's consent)***

LIQUIDATION OF PROPERTIES

Procedures in ACP:

- Preparation of inventory (list of community properties and separate properties, if any)
- Payment of debts and obligations of the absolute community shall be paid out of its assets. If insufficient, spoused shall be solidarily liable with their separate properties.
- Delivery of exclusive properties
- Division of net assets - equally or in accordance to the marriage settlement
- Delivery of presumptive legitimes
- Conjugal dwelling and lot on which it is situated shall be adjudicated to the spouse with whom the majority of the common children choose to remain

Procedures in CPG:

- Preparation of inventory (list of partnership and separate properties)
- Credit as an asset - amounts advanced by the partnership
- Reimbursement of spouse for the use of his or her exclusive funds in the acquisition of property or value of exclusive property which became part of the conjugal property (onerous donation)
- Payment of debts and obligations of partnership shall be paid out of the conjugal assets. If insufficient, spoused shall be solidarily liable with their separate properties.
- Delivery of exclusive properties
- Indemnification of spouse-owner for the loss or deterioration of movables used for the benefit of the family
- Division of net profits - equally or in accordance to the marriage settlement
- Delivery of presumptive legitimes
- Conjugal dwelling and lot on which it is situated shall be adjudicated to the spouse with

whom the majority of the common children choose to remain

FORFEITURE OF NET PROFITS – share shall be forfeited in favor of:

- the common children
- the children of the guilty spouse by a previous marriage
- the innocent spouse

Forfeiture of NET PROFITS

- Spouse in bad faith in subsequent marriage referred to in Article 41 of the Family Code /
- Offending spouse in case of legal separation
- Guilty spouse in annulment of a voidable marriage
- Guilty spouse in judicial declaration of nullity of a marriage if the ground is Article 40 of the Family Code

LIQUIDATION OF PROPERTIES

- Liquidation in case of Termination of Property Regime upon Death (within one year from death)
  - Liquidation in judicial settlement in a testate or intestate proceeding
  - Judicial action or ordinary action for partition
  - Extrajudicial settlement of estate
- **Q: What happens if there is no liquidation within one year from death?**
  - A: Any disposition or encumbrance involving the community or partnership property shall be VOID (for portions pertaining to non-disposing co-heirs)
  - Should the surviving spouse contract marriage, a mandatory regime of separation of property shall govern the property relations of the subsequent marriage
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Voluntary Separation of Property Arts. 134, 143-146

- ***Maquilan v. Maquilan, 8 June 2007***

COMPLETE SEPARATION OF PROPERTY

When applicable:

- By virtue of marriage settlement
- By virtue of decree of legal separation
- By virtue of judicial separation of property
- Mandatory regime of complete separation

Effects:

- Each spouse shall own, possess, administer, and enjoy property
- Each spouse can dispose or encumber property without the consent of the other
- All earnings, income, or fruits shall belong to the owner of the separate property
- Family expenses - both spouses will contribute in proportion to their income; solidarily liable to the creditors in connection with the expense

Judicial Separation of Property Art. 135-141
Grounds Procedure Revival

JUDICIAL SEPARATION OF PROPERTY

- Voluntary
- For Sufficient Cause

Voluntary

- The spouses may jointly file a verified petition with the court
- All creditors, as well as the personal creditors of the spouse, shall be listed in the petition and notified of the filing thereof.

Sufficient Cause:

- civil interdiction
- judicial declaration of absence (2/5yrs)
- loss of parental authority
- abandonment or failure to comply with obligations to family
- abuse of power of administration
- separation in fact for at least one year

JUDICIAL SEPARATION OF PROPERTY
EFFECTS

- ACP or CPG are deemed terminated and shall be liquidated
- Recording of the petition for separation of property and final judgment in the proper civil registry and registry of deeds
- Will not prejudice the rights acquired by creditors

REVIVAL OF PREVIOUS PROPERTY REGIME

- Motion for revival of property regime
- Same proceeding where separation of property was decreed

REVIVAL OF PREVIOUS PROPERTY REGIME (Grounds)

a. Termination of civil interdiction
b. Absentee spouse reappears
c. Restoration of parental authority
d. Spouse who left resumes common life with the other
e. Court is satisfied that the spouse will not abuse power of administration
f. Spouses who separated in fact reconcile and resume common life
g. After voluntary dissolution, agreement to revive former property regime (once only)